



INDEX METHODOLOGY

NASDAQ-100 MEGA 2.0™ INDEX

NDXMEGA2™

INDEX DESCRIPTION

The Nasdaq-100 Mega 2.0 Index (the “Index”) is designed to target the performance of approximately the Top 45% cumulative weight of the Nasdaq-100 Index® (NDX®), while maintaining a minimum of nine index constituents.

SECURITY ELIGIBILITY CRITERIA

To qualify for index inclusion, a security must meet the existing Nasdaq-100 Index® (NDX®) eligibility criteria¹. Please refer to the NDX® methodology for further information.

CONSTITUENT SELECTION

Constituent Selection Process

An index reconstitution is conducted annually based on the Reconstitution Reference Date, unless otherwise noted.

The companies evaluated in the selection process are based on the index composition of the base universe, the Nasdaq-100 Index® (NDX®), as of the Reconstitution or Rebalance Effective Date. The weights utilized in the selection process are based on the new company weights of the base universe, the Nasdaq-100 Index® (NDX®), set as of the Rebalance Reference Date. Please refer to the NDX® methodology for further information.

A Reconstitution is conducted on an annual basis in December, at which time all eligible companies, ranked by base universe weight, are considered for index inclusion based on the following criteria.

- The top ranked companies that cumulatively allocate up to 47% of the base universe, the Nasdaq-100 Index® (NDX®), will be selected for inclusion in the Index. Please note that the Index can allocate less than 47% of the base universe but cannot exceed the 47% threshold.

¹ The Fast Entry provision does not apply.

An evaluation is conducted during the rebalances in March, June, and September, to account for changes in rank for the top companies within the base universe. In general, the Index only replaces current constituents during this evaluation when there are higher ranked non-current constituents as of the Rebalance Reference Date. All eligible companies, ranked by base universe weight, are considered for index inclusion based on the following steps:

1. Cumulative weights are derived after ranking the base universe by weight.
2. Current constituents within the top 50% of the base universe are maintained in the Index. If there are no current constituents outside of the top 50%, then no constituent changes are made to the Index.
3. Current constituents outside the top 50% of the base universe are not guaranteed index inclusion and undergo the following evaluation with the remaining companies of the base universe:
 - A dynamic threshold is determined as the maximum cumulative weight of current constituents outside the top 50%.
 - All companies from the base universe that are not already maintained in Step 2 and are at or below the dynamic threshold are considered for inclusion.
 - These companies are ranked by their base universe weight in descending order.
 - The top “n” companies are chosen for index inclusion, where “n” represents the number of current constituents outside of the top 50% of the base universe.

Minimum Security Rule

In the event that there are fewer than nine securities selected for index inclusion based on the Constituent Selection Process outlined above, the following procedure will be implemented:

1. Additional securities will be selected from the base universe in descending order of their base universe weight until the minimum count of nine securities is reached.
2. For issuers with multiple eligible securities, only one security per issuer will be considered for index inclusion to meet the minimum count. In such cases, the security with the highest base universe weight will be selected.

CONSTITUENT WEIGHTING

Constituent Weighting Scheme

The Index is a modified market capitalization-weighted index.

Constituent Weighting Process

An index rebalance is conducted quarterly based on the Rebalance Reference Date.

The weighting process uses the new company weights of the base universe, the Nasdaq-100 Index® (NDX®), set as of the Rebalance Reference Date.

Each selected index company's initial weight is determined by dividing its new company base universe weight by the aggregate company base universe weight of all selected index companies. Initial weights are then adjusted to meet the following constraints:

- No company weight may exceed 30%.

For companies with multiple issues, the security weights are modified with the same adjustment factor as the company. For additional information about index weighting, see **Nasdaq Index Weight Adjustment Guidelines**.

Minimum Security Weighting Process

In the event that the Minimum Security Rule was triggered during the Constituent Selection Process, the Index will be weighted as follows:

1. Index constituents from the standard Constituent Weighting Process will be allocated 99% of the total Index weight.
2. Additional securities, added to meet the Minimum Security Rule, will collectively receive the remaining 1% of the total Index weight, distributed equally among these newly added constituents.

INDEX CALENDAR

The Nasdaq-100 Mega 2.0 Index follows the same Reconstitution and Rebalancing schedule as the Nasdaq-100 Index®.

Holiday Schedule

The Index is calculated Monday through Friday, except on days when the US markets are closed.

Index Calculation and Dissemination Schedule

The Index is calculated during the trading day based on the Last Sale Price and is disseminated once per second from 09:30:01 to 17:16:00 ET. The closing value of the Index may change up until 17:15:00 ET due to corrections to the Last Sale Price of the index constituents.

INDEX MAINTENANCE

Deletion Policy

Index constituents removed from the Nasdaq-100 Index® (NDX®) are removed from the Index simultaneously.

Replacement Policy

Index constituents deleted at any time during the year may be replaced to ensure a minimum of nine index constituents to satisfy the Minimum Security Rule. The reference date for this replacement procedure is as of the prior-month end. In the event that fewer than nine securities remain after deletion, the replacement policy is applied as detailed below:

1. The index constituents that were selected via the standard Constituent Selection Process as of the latest Rebalance are kept within the Index. The weights within this group are calculated as of the replacement procedure reference date.
2. The Minimum Security Rule is applied to reach a minimum count of nine securities within the Index.

The Minimum Security Weighting Process is applied.

Addition Policy

No additions to the Index will occur between the annual Index Reconstitution or quarterly Index Rebalance, except pursuant to the Minimum Security Rule or as a result of a spin-off event.

Corporate Actions

In the periods between scheduled index reconstitution and rebalancing events, individual index constituents may be subject to a variety of corporate actions and events that require maintenance and adjustments to the Index. The specific treatment of each type of corporate action or event is described in **Nasdaq Corporate Actions and Events Manual – Equities**, which is incorporated herein by reference.

In certain cases, corporate actions and events are handled according to the weighting scheme or other index construction techniques employed. Wherever alternate methods are described, the Index will follow the “Market Cap Corporate Action Method.”

Index Share Adjustments

Other than as a direct result of corporate actions, the Index does not normally experience share adjustments between scheduled index reconstitution and rebalance events.

ADDITIONAL INFORMATION

Announcements

Nasdaq announces Index-related information via the Nasdaq Global Index Watch (GIW) website at <https://indexes.nasdaqomx.com>.

For more information on the general Index Announcement procedures, please refer to the **Nasdaq Index Methodology Guide**.

Unexpected Market Closures

For information on Unexpected Market Closures, please refer to the **Nasdaq Index Methodology Guide**.

Calculation Types

For information on the index calculation types as well as the mathematical approach used to calculate the Index(es), please refer to the **Nasdaq Index Policies & Procedures: Calculation Manual – Equities & Commodities**.

Recalculation and Restatement Policy

For information on the Recalculation and Restatement Policy, please refer to the **Nasdaq Index Recalculation Policy**.

Data Sources

For information on data sources and the classification of dividends and associated tax rates, please refer to the **Nasdaq Index Methodology Guide**.

Contact Information

For any questions regarding an Index, please contact the Nasdaq Index Client Services team at indexservices@nasdaq.com.

Index Dissemination

Index values and weightings information are available through Nasdaq Global Index Watch (GIW) website at <https://indexes.nasdaqomx.com/> as well as the Nasdaq Global Index FlexFile Delivery Service (GIFFD) and Global Index Dissemination Services (GIDS). Similar to the GIDS offerings, Genium Consolidated Feed (GCF) provides real-time Index values and weightings for the Nordic Indexes.

For more detailed information regarding Index Dissemination, see the **Nasdaq Index Methodology Guide**.

Website

For further information, please refer to Nasdaq GIW website at <https://indexes.nasdaqomx.com/>.

FTP and Dissemination Service

Index values and weightings are available via FTP on the Nasdaq Global Indexes FlexFile Delivery Service (GIFFD). Index values are available via Nasdaq's Global Index Dissemination Services (GIDS).

GOVERNANCE

All Nasdaq Indexes are managed by the governance committee structure and have transparent governance, oversight, and accountability procedures for the index determination process. For further details on the Index Methodology and Governance overlay, refer to the **Nasdaq Index Methodology Guide**.

GLOSSARY OF TERMS AS USED IN THIS DOCUMENT

For the glossary of key terms, refer to the **Nasdaq Index Methodology Guide**.

DISCLAIMER

Nasdaq may, from time to time, exercise reasonable discretion as it deems appropriate in order to ensure index integrity, including but not limited to, quantitative inclusion criteria. Nasdaq may also, due to special circumstances, if deemed essential, apply discretionary adjustments to ensure and maintain the high quality of the index construction and calculation. Nasdaq does not guarantee that any Index accurately reflects future market performance.

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